Software Procurement Agreement

ILLUSTRATIVE SAMPLE ? 2026 TERMS ? NOT FOR SIGNING

Meridian Systems, Inc. and Asteron Manufacturing, Inc. | Agreement MS-2026-044

Agreement / year	MS-2026-044 / 2026
Vendor	Meridian Systems, Inc.
Customer	Asteron Manufacturing, Inc.
Effective date / term	January 1, 2026 / January 1, 2026 through December 31, 2026
Scope	Procurement and subscription of Meridian Operations Cloud, including the same 500 named users, workflow and asset-management modules, standard support, and initial implementation and data migration services.
Annual subscription	$216,000 per year ($18,000 per month)
Implementation	$60,000 one-time fixed fee
Estimated first-year value	$276,000 first-year contract value, excluding taxes and approved expenses

1. Parties and purpose

This Software Procurement Agreement (Agreement) is entered into by Meridian Systems, Inc. (Vendor) and Asteron Manufacturing, Inc. (Customer), effective January 1, 2026 (Effective Date). Vendor will provide the software subscription, support, and services described here; Customer will pay the applicable charges and use the services in accordance with this Agreement.

2. Scope and deliverables

The scope is the same in both sample agreements: Procurement and subscription of Meridian Operations Cloud, including the same 500 named users, workflow and asset-management modules, standard support, and initial implementation and data migration services. Vendor will configure the standard modules, conduct up to two remote administrator training sessions, and migrate Customer-provided data using Vendor?s standard import tools. Custom development, third-party products, and work outside this scope require a separately signed change order. The parties will agree on a written implementation plan within 15 business days after kickoff.

3. Term and order of precedence

The initial subscription term is January 1, 2026 through December 31, 2026. The Agreement consists of this document and any signed order form or change order. If terms conflict, a later signed change order controls only for its stated subject; otherwise this Agreement controls over an order form. The parties may renew only as stated in Section 5.

4. Fees, invoicing, and taxes

Annual subscription fee: $216,000 per year ($18,000 per month). One-time implementation fee: $60,000 one-time fixed fee. Estimated first-year contract value: $276,000 first-year contract value, excluding taxes and approved expenses. Subscription billed quarterly in advance. Implementation billed 30% at kickoff, 40% at configuration completion, and 30% at acceptance. Invoices due net 45 days. Fees exclude applicable transaction taxes, which Customer will pay except taxes on Vendor?s income. Vendor must identify disputed invoice amounts in reasonable detail; Customer will timely pay undisputed amounts while the parties resolve a dispute.

5. Renewal

Renews for successive one-year periods unless either party gives written non-renewal notice at least 90 days before the current term ends. Renewal subscription fees may increase by up to 4% per year.

6. Access, use, and data

During the term, Vendor grants Customer a limited, non-exclusive, non-transferable right for its employees and contractors to access the subscribed modules for Customer?s internal business operations, up to 500 named users. Customer retains all rights in Customer Data. Vendor may process Customer Data only to provide, secure, and support the services and as otherwise documented in written instructions. Customer is responsible for the lawfulness and accuracy of data it supplies.

7. Implementation and acceptance

Vendor will perform implementation with reasonable skill and care. Customer will appoint a project contact, provide timely access to source data, and review deliverables within 10 business days of delivery. A deliverable is accepted unless Customer provides a written description of a material failure to meet the agreed scope within that review period. Vendor will use reasonable efforts to correct a verified failure and resubmit the deliverable for review.

8. Availability and service credits

99.9% monthly availability, excluding scheduled maintenance and stated service exclusions. Service credits are 10% of the monthly subscription fee for 99.5%?99.89% availability and 20% below 99.5%, capped at 20% for the month. A service credit is Customer?s sole monetary remedy for failure to meet the availability target, provided Customer requests it within 30 days after the affected month. Credits are applied to a future invoice and are not cash-refundable except where required by law. This sample does not specify maintenance windows or all exclusions; the executed agreement would do so.

9. Support

Enhanced support: 24 hours a day, 7 days a week for Severity 1 incidents; business-hours support for other severities. Severity 1 initial response target: 1 hour. Response targets measure acknowledgment and initial investigation, not resolution time. Vendor will provide a support portal and status updates for material incidents. Customer must provide reasonable diagnostic information and designate authorized support contacts.

10. Security and confidentiality

Vendor will maintain an independently audited security program, provide an annual assurance report upon request subject to confidentiality, and notify Customer of a confirmed security incident affecting Customer Data within 24 hours after confirmation. Vendor will provide reasonable cooperation with incident response. Each party will protect the other party?s non-public business information using reasonable care and use it only for this Agreement. These duties do not apply to information that is public without breach, independently developed, or lawfully received without restriction. Vendor will ensure personnel with access are bound by confidentiality duties.

11. Intellectual property

Vendor and its licensors retain all rights in the software, documentation, and pre-existing materials. Customer retains all rights in Customer Data and Customer-provided materials. Each party grants the other only the limited rights necessary to perform this Agreement. No ownership of custom work is transferred unless a signed change order expressly states otherwise.

12. Warranties and disclaimers

Vendor warrants that it will provide the services in a professional and workmanlike manner and that the hosted service will materially conform to its then-current documentation during the subscription term. Customer?s exclusive remedy for a breach of this warranty is correction or re-performance, or termination of the affected service and a pro-rata refund of prepaid unused fees if correction is not commercially reasonable. Except as expressly stated, services are provided without additional warranties to the extent permitted by law.

13. Termination and data return

Either party may terminate for material breach not cured within 20 days after written notice. Customer may terminate for convenience on 60 days? notice after the first three months, with a pro-rata refund of prepaid subscription fees for the unused period and payment for accepted services performed through termination. On termination or expiration, Customer?s access ends, except for the data export period below. Customer may export Customer Data at any time and for 90 days after termination in a commonly used machine-readable format. Vendor will delete remaining Customer Data within 30 days after that export window and provide written confirmation upon request, except data retained as required by law.

14. Indemnity and liability

Vendor will defend Customer against a third-party claim that the unmodified service, as provided by Vendor and used as authorized, infringes that party?s intellectual-property right, and pay damages finally awarded or settlement amounts approved by Vendor. Customer will promptly notify Vendor and provide reasonable cooperation. Vendor has no duty for claims caused by Customer Data, unauthorized modifications, or combinations not supplied by Vendor. Except for excluded claims, each party?s aggregate liability is capped at fees paid or payable under this Agreement in the 12 months before the event giving rise to the claim. Liability for confidentiality, data-security, or privacy claims is subject to a separate cap of two times those fees. The cap does not apply to fraud, willful misconduct, or payment obligations. Neither party is liable for indirect, incidental, special, or consequential damages, including lost profits, to the extent permitted by law.

15. General terms and signature

Neither party may assign this Agreement without the other?s written consent, except to an affiliate or successor in a merger or sale of substantially all relevant assets, provided the assignee assumes the obligations. Neither party is liable for delay caused by events beyond reasonable control. This Agreement is governed by the law of the fictional State of Example, without regard to conflict rules; this illustrative choice does not select a real jurisdiction. Amendments must be signed by both parties.

Signatures (sample only)

This sample is not an offer or binding agreement. Signature lines are included for layout demonstration only.

VENDOR: Meridian Systems, Inc.
By: _____ Name/Title: _____ Date: _____

CUSTOMER: Asteron Manufacturing, Inc.
By: _____ Name/Title: _____ Date: _____